

sentence of the last paragraph of Section 3 of the Arbitration Agreement (beginning with "and remedies will be limited" until "claims presented to the Arbitrator"), and (2) the last sentence of Section 3 of the Arbitration Agreement (beginning with "A party may make an offer" and ending with "Rule 68 of the Federal Rules of Civil Procedure"). With those provisions stricken, the Court will grant the petition/motion to compel Plaintiff's claims to arbitration on an individual basis. The putative class claims will be dismissed, and the action shall be stayed pending completion of the arbitration, except that the Court will schedule periodic case management conferences to determine the status of the arbitration from time to time. Given the Court's ruling, the case management conference presently scheduled for 8:30 a.m. on August 5, 2026, is hereby vacated and will be reset to January 13, 2027.

13. 9:00 AM CASE NUMBER: C26-00997
CASE NAME: STERLING SMITH VS. THOMAS BROS EQUIPMENT RENTAL
***HEARING ON MOTION IN RE: SET ASIDE ENTRY OF DEFAULT AGAINST NETWORK ADJUSTERS, INC.**
FILED BY: NETWORK ADJUSTERS INC.
TENTATIVE RULING:

Defendant Network Adjusters, Inc.'s motion to set aside default and request for sanctions is **granted in part and denied in part**, as set forth below.

Background

This action arises from a vehicular collision and Plaintiff's subsequent dispute over the handling of the related insurance claim. Plaintiff Sterling B. Smith, appearing in propria persona, filed the Complaint on March 24, 2026, against Thomas Bros Equipment Rental, Accelerant Specialty Insurance, and Network Adjusters, Inc., alleging breach of contract and negligence. On May 4, 2026, Plaintiff filed a request for entry of default against Network Adjusters, which was entered that same day and then set aside as prematurely entered. Plaintiff filed a second request for entry of default against Network Adjusters on May 7, 2026, which the clerk entered.

The proof of service on file states that the process server, F. Conley of the Sheriff's Civil Bureau, personally served the party identified in item 3(a) as Network Adjusters Inc. by delivering copies of the complaint and other service documents on April 2, 2026, at 12:41 p.m. In item 3(b), the proof of service identifies the person actually served, not as the party itself, but as a person served "on behalf of an entity or as an authorized agent," and names that person as "Rebecca Vang /Authorized Agent." The address where the party was served is listed as Lawyers Incorporating Service ("LIS"), 2710 Gateway Oaks Drive, Suite 150N, Sacramento, CA 95833. Thus, the sufficiency of service depends entirely on whether Rebecca Vang, at Lawyers Incorporating System, was authorized to accept service on Defendant's behalf.

Analysis

Defendant states that its agent for service of process is Cogency Global, Inc., which has held that role

since October 2024, with CT Corporation System serving as the prior agent before then. (Albert H. Mayer Declaration ("Mayer Decl."), ¶ 2.) Defendant declares that LIS has never been its agent for service of process, and that neither Rebecca Vang nor LIS was ever authorized to accept service on its behalf. (Mayer Decl., ¶ 2.) Defendant never received the service documents and first learned of the entry of default only after a co-defendant forwarded it on May 14, 2026. (Mayer Decl., ¶ 3.) Defendant seeks sanctions in the amount of \$1,000, contending that Plaintiff refused to stipulate to set aside the default after being informed of the error and refused to consult the Secretary of State's website, which would have identified Cogency Global as the proper agent for service of process. (George P. Soares Declaration, ¶¶ 2-4, Exhs. 1-3.)

In opposition, Plaintiff argues that the Sheriff's Civil Bureau identified Rebecca Vang as an "Authorized Agent" on the proof of service and this designation should be credited. Plaintiff further points to a letter from LIS declining to forward the service documents as evidence that LIS was Defendant's agent at the time of service. Plaintiff does not dispute that the California Secretary of State's records identify Cogency Global as Defendant's current agent for service of process, nor does Plaintiff offer any evidence that Rebecca Vang or LIS was ever authorized to accept service on its behalf. Plaintiff asks the Court to deny Defendant's motion and deny sanctions, and alternatively requests that if the motion is granted, sanctions be denied.

"Under [Code of Civil Procedure] section 473, subdivision (d), the court may set aside a [default or] default judgment which is valid on its face, but void, as a matter of law, due to improper service." (*Ellard v. Conway* (2001) 94 Cal.App.4th 540, 544.)

"When a defendant challenges the court's personal jurisdiction on the ground of improper service of process 'the burden is on the plaintiff to prove the existence of jurisdiction by proving, inter alia, the facts requisite to an effective service.' " (*Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413; see also *Lebel v. Mai* (2012) 210 Cal.App.4th 1154, 1160.) However, a proof of service containing a declaration from a registered process server invokes a rebuttable presumption affecting the burden of producing evidence of the facts stated in the return. (Evid. Code, § 647; see *American Express Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 390.)

Defendant challenges the Court's personal jurisdiction on the ground of improper service, and Plaintiff's proof of service does not contain a declaration from a registered process server regarding service. Thus, the burden of proof is on plaintiff to prove the existence of jurisdiction over Defendant. (See *Summers*, *supra*, 140 Cal.App.4th at p. 413.)

Plaintiff's evidence is insufficient to meet his burden to show proper service. Plaintiff's opposition rests on the sheriff's characterization of Rececca Vang as an "Authorized Agent" on the proof of service and on the CSC rejection letter, but neither establishes actual authority. The proof of service reflects the process server's notation at the point of service, not an independent determination that Ms. Vang was authorized to accept service for Defendant, and the CSC letter does not state that LIS was Defendant's agent. It states only that the service papers did not specify which of several named defendants was being served and that CSC's customer records are confidential. Even if a rebuttable presumption of proper

service arose from the proof of service, Defendant's evidence would rebut it, as it shows that neither Rebecca Vang nor LIS was acting as Defendant's agent for service of process. Accordingly, the Court finds that Defendant is entitled to relief from default under Code of Civil Procedure section 473(d).

Network asks the Court to dismiss the complaint against it and to impose monetary sanctions against Plaintiff for failure to timely serve the complaint.

The complaint was filed on March 24, 2026. Plaintiff purportedly served it on April 9, 2026 and filed proof of service on April 27, 2026, both within the 60-day period in rule 3.110(b). Rule 3.110 does not address the adequacy or manner of service, only its timing. In any event, rule 3.110(f) permits the Court to set an OSC re: sanctions for a failure to timely serve and file proof of service, but dismissal is not among the sanctions authorized under that provision. (Cf. Cal. Rules of Court, rule 2.30(b) ["If a failure to comply with an applicable rule is the responsibility of counsel and not of the party, any penalty must be imposed on counsel and must not adversely affect the party's cause of action or defense thereto."]; see *Hawks v. Hawks* (2006) 141 Cal.App.4th 1435, 1437 ["a delay of less than two years in service of the summons and complaint is not a ground for dismissal"].) The request to dismiss the complaint against Network is denied.

Network also requests \$1,000 in monetary sanctions. California Rules of Court, rule 2.30(b) authorizes the Court to order a party to pay monetary sanctions for failure without good cause to comply with an applicable rule. As noted above, Plaintiff served the complaint and filed proof of service within the time set by rule 3.110(b) and it is not clear that rule 3.110 is violated where service is timely made but later determined to be defective. Network argues Plaintiff should have consulted the Secretary of State's website or stipulated to set aside the default after being told of the service defects. That is a criticism of Plaintiff's litigation strategy, not evidence that he violated rule 3.110 without good cause under rule 2.30. The request for monetary sanctions is denied. The Court nonetheless encourages the parties to act reasonably going forward.

Disposition

The motion is **granted in part and denied in part**. The May 7, 2026 default against Network Adjusters, Inc. is **hereby set aside**. Network's requests for dismissal of the complaint and for \$1,000 in monetary sanctions are **denied**. Defendant shall prepare the order and serve and file notice of entry of order. Defendant shall file an answer or other responsive pleading within 15 days of the hearing.

14. 9:00 AM CASE NUMBER: MSC21-00659
CASE NAME: TAJ LOCKETT VS BROKER SOLUTIONS INC
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO SPECIAL INTEROGS NO. 1-3**
FILED BY: LOCKETT, TAJ
TENTATIVE RULING:

After this case was reassigned to Department 16, this motion date was inadvertently not reset. It has been reset for August 5, 2026, at 9:00 am in Department 16.